Report to The Portland Public Schools Board of Education

Date: July 29, 2026

From: Bond Accountability Committee

Subject: BAC Report #52

Committee Charge

The Portland Public Schools Board of Education (Board) has appointed a community Bond Accountability Committee ("Committee" or "BAC") whose charge is to monitor the planning and progress of the bond programs relative to voter-approved work scope, schedule, and budget objectives.

The duties of the Committee are (i) to receive and review reports and other information on the current status and planned implementation of the bond programs, including bond project and program status reports, critical path schedules, budgets and expenditures, project prioritization within bond programs, identification of risks, bond-project management key performance indicators, and annual bond performance audits; (ii) to determine whether such status and implementation are consistent with the programs approved by the voters; and (iii) to report its findings and recommendations to the Board.

The current members of the BAC are:
Greg DiLoreto, Chair
Norman Dowty
Chris Dunning, Vice Chair
Travis George
Brian Harper
Ryan Kinsella
Chris Poulsen
Jonathan Trutt
Cara Turano
Kelly Wingard
BOE Director Splitt, the BAC Liaison

Background:

In November 2012, voters approved a $482M capital improvement bond measure for Portland Public Schools. In May 2017, voters approved a $790M capital improvement bond measure. In November 2020, voters approved a $1.206B capital improvement

bond measure, and in May 2025, voters approved a $1.8B capital improvement bond measure.

All BAC meetings are publicly noticed and open to the public. Staff presentation materials, along with BAC reports, are posted on the District's website. Meetings are also video recorded, which allows BAC members and the public unable to attend scheduled meetings to watch the proceedings and review the materials at their convenience.

This BAC meeting was held at the Prophet Education Center on July 29, 2026. The BAC has a practice of alternating its meetings between in person and Zoom. Seven members participated in this meeting: Greg DiLoreto, Kelly Wingard, Brian Harper, Jonathan Trutt, Norm Dowty, Chris Dunning, Ryan Kinsella and our BOE liaison Director Splitt. **The meeting focused on four main areas: A presentation on the collaboration between RISE and the District's Finance Dept.; Updated financials for the bond program; Modernization project update; and a presentation on PROCEDEO program management plan and project team management plan for each of the three high schools and Grice-Adair Center for Educational Excellence, undergoing modernization.** We did in-depth introductions of the committee members and staff, giving the Committee a better understanding of committee member experience. Additionally, according to our revised charter, which calls for new officers at our first meeting after July 1st, we elected Greg DiLoreto as chair and Chris Dunning as vice chair.

Report

1. Whether the school district bond revenues are expended only for the purposes for which the bonds were approved, and that bond revenues are not used for any purpose prohibited by law.

- The BAC reviewed the Bond Program Administration report for Cleveland, Jefferson and Wells high schools and the Grice-Adair Center.
- An in-depth presentation was provided regarding how the District determines that projects meet the test of bond funding eligibility. The definition is that the work must add value, results in betterment of the facility, extends the property's life, or adapts it for new use. Capitalization threshold is $25K. Project are placed into one of four buckets: Construction and Renovation; Systems and Infrastructure; Sites and Grounds; and Fixtures and Equipment. All projects are reviewed by a designated PPS staff team to ensure that they meet the test of usability of bond funds.

- **Based on these reports the BAC believes the programs to have been properly funded; it appears that the school district is spending revenues only for the purposes for which the bonds were approved.**

2. Whether the bond budget is sufficient to complete the scope of work as outlined in the voter-approved bonds.

- **As presented to the BAC there are sufficient funds to complete the scope of work as outlined in the voter-approved bonds.**
- Bond funds from the 2012 bond **are nearly 100% spent, the last, approximately, $306,000 available. Bond funds from the 2017 bonds are 95% spent of which $45.4 million is still available. Encumbrances are up $10 million from our previous report. Bond funds from the 2020 bonds are 64% spent with $480 million available with early work at Jefferson, accounting for the increase in expended funds. Thirteen percent of the 2025 bond funds have been spent, most on modernization work**.
- **There is an ongoing claim dispute between the District and contractor for Benson high school. At this time the District and contractor continue to explore resolution of the various claims that have been made by both parties.**
- **A total of $4.6 billion in bonds have been approved by the voters in 2012, 2017, 2020 and 2025 combined. To date 54% have been spent, up 4% from our previous report. Outstanding encumbrances are $318.6 million. A 57% increase, and $2.1 billion in bond funds remain, the majority of which is in the 2025 bond.**

3. Whether the projects planned, in progress, and completed will meet the scope of work specified in the voter-approved bonds.

- The BAC received a presentation on the status of the three high school modernization projects and the Grice-Adair Center. Status at Jefferson HS shows the design procurement is 100% complete. Staff received the 50% construction drawings on July 17th and review is underway, with 75% of the design completed. The contractor has mobilized, and fencing is up on the site.
- Status at Cleveland HS shows the design procurement is 100% complete. Staff has completed their review of the 50% construction drawings, with 80% of the design work completed. Demolition work on the old high school began on July 6th. Construction work is at 2%.

- Wells HS design procurement is 100% complete. Design is 75% complete. Staff expects to receive the 50% construction drawings on August 19th with 100% of construction drawings due by the end of the year.
- Status at Grice-Adair Center shows that design procurement is 100% complete. No design or construction work has begun.
- **Based on these reports the BAC believes the projects planned, in progress, and completed will meet the scope of work specified in the voter-approved bonds.**

4. Whether the projects are being delivered on schedule relative to the voter-approved bonds.

- A project schedule for the modernization projects was presented. All projects show a school opening of fall 2029.
- Design phase for the 3 high schools shows completion by the end of 2026. Design for Grice-Adair Center shows completion in the 3rd quarter of 2027. Land use for Wells HS is taking considerably longer than for either Jefferson or Cleveland. Staff is working with the City of Portland's major project groups and is confident that everything is still on schedule. The schedule notes that there will still be construction occurring after the opening of Jefferson and Wells high schools, and this will be the demolition of the old schools.
- Risks to the projects include costs, scheduling, design scope creep, permitting and site security. Staff is working to mitigate these risks as follows.
    - Costs – continued value engineering at every submission to reconcile costs and value engineering as needed. The contractor is, and will, release bid packages early to gain best pricing ahead of escalating market pricing. Procurement early of steel and lock in of diesel price to avoid large price increases. Tariff impacts may affect costs. All budgets include an allowance for cost escalations to mitigate unforeseen cost increases.
    - Scheduling – staff and contractor proactively identify potential schedule risks during their regular design and construction meetings. Working closely with the contractor to develop recovery schedules when needed.
    - Design (scope creep) – consistent effort from the design team at every submission to reconcile costs and value engineering to maintain budgets. Staff weigh the cost of must haves versus nice to have design elements.
    - Permitting – Staff is working with the City of Portland major projects group in collaborative design review meetings to expedite review and permitting processes. There is also increased communication from multiple points of contacts from the professional partners reaching out to the permitting agency for status updates.

    - Site Security – there are enhanced security measures at the project sites which include increased patrols, and continuity in district property insurance prior to the contractor turning the completed projects over to the District.
- **Based on the information presented, the projects will be delivered on schedule.**

5. The Committee will receive and review copies of annual performance audit reports and financial audit reports to ensure Bond revenues are expended in compliance with state law and the ballot measure language.

- **As noted in previous BAC reports, District staff is diligent in ensuring all bond revenues comply with state law and the ballot measure language, and the BAC has seen no evidence of operating outside of this compliance.** Portland Public Schools RISE and Finance Leadership staff review the proposed projects to verify that they fall within the requirements for capital projects for which bond funds may be used.

Additionally, the Committee may provide feedback and/or advice to the Board on one or more of the following topics:

- *Alignment with the goals and principles of the Long-Range Facilities Plan;*
- *Alignment with the goals of the Business Equity Policy;*
- *District standards and innovative practices for achieving lower maintenance and construction costs while improving operating efficiency, sustainability, and increasing building longevity;*
- *Historic preservation and school renovation opportunities compatible with the architecture of surrounding Portland neighborhoods;*
- *Potential capital partnerships for joint and shared use of PPS facilities;*
- *Implementation of appropriate ways to address seismic issues;*
- *Topics and scope for the annual performance audit work plan;*
- *Compliance with ADA; and*
- *Communicating key information related to the bonds to the School Board, public groups, organizations and stakeholders.*

    - Included in the materials to the BAC was an update on **certified business equity** for each modernization project.
    - Jefferson HS – For the architect,12.05% has been paid towards the 18% aspirational goal of certified firms. Sixteen of 27 are certified subcontractor firms and 5 of the 4 required annual career learning activities have taken place. For the contractor, since not much construction work has occurred

nothing has been paid towards the 18% goal. Two of 16 are certified subcontractor firms and none of the 6 required career learning activities have taken place.

- Cleveland HS – For the architect, 37.24% has been paid towards the 18% aspirational goal of certified firms, with 17 of 25 certified subcontractor firms and 19 of the 4 required annual career learning activities having taken place. For the contractor, since little work has occurred, only 0.03% has been paid towards the 18% aspirational goal of certified firms with 14 of 30 certified subcontractor firms and 3 of 6 required annual career learning activities having taken place.
- Ida B. Wells HS – For the architect 16.4% has been paid towards the 18% aspirational goal of certified firms with 16 of 25 certified subcontractor firms, and 7 of the 4 required annual career learning activities having taken place. For the contractor nothing has been paid towards the 18% aspirational goal of 18%, again because no construction has taken place. No subcontractor firms are certified and 2 of the 6 annual career learning activities have taken place.

- **Based on the above it appears good progress is being made on certified business equity.**

- PROCEDEO provided the BAC a copy of their program management plan. This is the first time the BAC has received such a document in the years of the school modernization program. It is detailed and complete and is an impressive plan covering project approach, planning and development, management controls, development of design construction guidelines to name a few. Additionally, the BAC received a copy of the project team management plans developed and implemented by the District for each of the 3 high schools undergoing modernization. These plans are a road map of how the project will progress, from project overview, project delivery model, schedule, budget, communication, certified business recruitment plan and challenges/opportunities.

- *General Comments*

In conclusion, we continue to commend PPS with what they have accomplished as the number of projects is numerous and complex. Projects are coming in on time and generally within budget and scope. The Program Management Plan and Project team Management Plans from PROCEDEO are most impressive. We continue to appreciate the quality and professionalism of RISE and PROCEDEO staff. We thank the Board for this opportunity to serve and play a small part in the District's bond programs.